LIFE REPORT

FOR THE HALF YEAR ENDED 30 JUNE 2022

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iii. This report relates to Life Assurance and Reassurance business written by Life Assurers and Reassurers.

iv. Please Note: All Monetary Figures are in ZW$ except stated otherwise.

v. All ZW$ amounts are expressed in nominal terms, except where specifically stated to be in real terms.

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ABBREVIATIONS

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets as defined by the Insurance Act (Chapter 24:07)
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme

1. Executive Summary

1.1 For the half year-ended 30 June 2022, the Life Assurance Sector was made up of 12 direct life assurance companies, four (4) composite reassurance companies and 1, 388 life agents.

1.2 Of the 12 registered Life Assurance companies, 11 managed to submit their returns on time.

1.3 For the half year-ended 30 June 2022, the Life Assurance Sector reported Gross Premium Written (GPW) of ZW$17.7 billion, representing a nominal increase of 141% from ZW$7.4 billion reported in the comparative period in 2021. The growth in GPW was 26% in real terms.

1.4 Growth in GPW was mainly attributable to premium increases in response to the rise in inflation. The two classes which contributed to the significant increase are funeral and group life business.

1.5 GPW for life reassurers grew by 151% in nominal terms from ZW$237.6 million reported for the half year-ended 30 June 2021 to ZW$595.3 million for the half year-ended 30 June 2022. In real terms, the GPW by Life Reassurers grew by 31% from ZW$237.6 million reported for the half year-ended 30 June 2021 to ZW$310.7 million for the half year-ended 30 June 2022.

1.6 For the half year-ended 30 June 2022, the Life Assurance Sector reported Foreign Currency business amounting to US$9 million. The Foreign Currency business was mainly written from funeral assurance business, with one player writing 48% of the business.

1.7 The Life Reassurance companies reported Foreign Currency business amounting to US$1.2 million for the half year-ended 30 June 2022.

1.8 All the 11 Life Assurance companies and all the four (4) Life Reassurance companies reported capital positions, which were compliant with the prescribed Minimum Capital Requirements (MCR) of ZW$75 million and ZW$112.5 million, respectively as at 30 June 2022.

1.9 The capital positions were, however, based on unaudited returns.

1.10 Direct Life Assurers reported 71% nominal growth in total assets from ZW$114.2 billion as at 31 March 2022 to ZW$194.8 billion as at 30 June 2022.

1.11 Growth in assets was mainly attributed to strong performance by equity investments on the Zimbabwe Stock Exchange and revaluation gains derived from investment properties.

1.12 The asset base for composite Reassurers grew by 24% from ZW$4.6 billion as at 31 March 2022 to ZW$7.3 billion as at 30 June 2022.

1.13 As at 30 June 2022, the average prescribed asset ratio for Life Assurers and Life Reassurers stood at 4.84% and 6.28%, respectively.

1.14 Two (2) of the 11 direct Life Assurers and one of the four Life Reassurers were compliant with the minimum prescribed asset ratio of 15%.

1.15 For the half year-ended 30 June 2022, the Life Assurance Sector reported nominal profit after tax of ZW$38.5 billion, representing a 213% increase from ZW$12.3 billion reported for the comparative period in 2021.

1.16 After-tax profit for Life Reassurers increased nominally by 1797% from ZW$30.7 million reported for the half year-ended 31 March 2021 to ZW$582.3 million for the half year-ended 30 June 2022.

1.17 In real terms, profit after tax for the Life Assurance and Reassurance Sectors, increased by 63% and 53% respectively.

1.18 The increase in profit after tax for Life Assurers and for Life Reassurers, is mainly attributable to high investment returns from revaluation gains on equity investments.

Table 1 Summary of Key Financial Indicators.

	Life Assurance			
Financial Aspect (ZW$000)	Jun-21	Jun-22	Jun- 22 inflation-adjusted	Growth Inflation-adjusted
GWP	7,368,930	17,734,503	9,256,004	26%
NWP	7,178,460	17,266,293	9,011,635	26%
Claims	2,549,600	7,348,520	3,835,345	50%
Operating Expenses	2,060,514	34,287,589	17,895,401	768%
Commissions	404,527	956,968	499,461	23%
Technical Costs	5,014,641	42,593,077	22,230,207	343%
Profit after Tax	12,321,970	38,473,624	20,080,180	63%
Financial Aspect (ZW$000)	Mar-22	Jun-22	Growth (%)	
Total Assets	114,140,608	194,766,072	71%	
Total Liabilities	48,385,332	96,360,373	99%	
Capital	65,755,276	98,405,699	50%	
Capital to Liability Ratio	136%	102%	-25%	
Prescribed Assets	4,110,679	9,436,355	130%	
PA Ratio (%)	3.60%	4.84%	35%	

	Life Reassurance			
Financial Aspect (ZW$000)	Jun-21	Jun-22	Jun- 22 inflation-adjusted	Growth Inflation-adjusted
GWP	266,670	595,318	310,709	17%
NWP	246,697	529,114	276,156	12%
Claims	62,981	181,558	94,759	50%
Operating Expenses	23,251	79,729	41,612	79%
Commissions	42,790	114,584	59,804	40%
Technical Costs	129,022	375,871	196,175	52%
Profit after Tax	199,106	582,292	303,910	53%
Financial Aspect	Mar-22	Jun-22	Growth (%)	
Total Assets	4,582,376	7,272,023	59%	
Total Liabilities	1,880,634	2,786,632	48%	
Capital	2,701,743	4,485,392	66%	
Capital to Liability Ratio	144%	161%	12%	
Prescribed Assets	353,152	452,861	28%	
PA Ratio (%)	7.71%	6.23%	-19.19%	

2 The Insurance and Pensions Commission at Glance

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise, and develop the insurance and pensions industry, for the protection of policyholders and pension scheme members in Zimbabwe.

2.2 This Report outlines industry developments and IPEC's various activities in the insurance sector, consistent with its statutory mandate for the half year-ended 30 June 2022.

3 Terms of Reference

3.1 The activities of the Commission are guided by the following Acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pensions and Provident Funds Act [Chapter 24.09]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Finance Management Act [Chapter 22:19] and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

4 Economic Developments

4.1. Global and Regional Economic Outlook

Global output growth has been revised downwards to 3.2% in 2022 and 2.9% in 2023 (IMF, 2022). The slow growth is mainly attributed to negative spill overs from the war in Ukraine and the associated sanctions that disrupted energy and food markets.

Table 2: World Economic Outlook Projections

	2021	2022	2023
World Output	6.1	3.2	2.9
Advanced Economies	5.2	2.5	1.4
USA	5.7	2.3	1.0
Euro Area	5.3	2.6	1.2
Emerging Markets and Developing Economies	6.8	3.6	3.9
China	8.1	3.3	4.6
Sub-Saharan Africa	4.5	3.8	4.0
Nigeria	3.6	3.4	3.2
South Africa	4.9	2.3	1.4
Zimbabwe	6.3	3.5	3.0

Source: July 2022 World Economic Outlook Update, IMF Projections

Growth in sub-Saharan Africa is projected at 3.8% in 2022, reflecting the effects of elevated fossil fuel and metal prices for some commodity-exporting countries.

4.2 Domestic Economic Outlook

Ministry of Finance and Economic Development revised the 2022 economic growth for Zimbabwe from 5.5% to 4.6%, reflecting the impact of the external global environment and unique domestic circumstances. The 2022 growth projection is premised on improved mining and quarrying (9.5%), accommodation and food services (50%), electricity, gas, steam and air conditioning supply (12.2%), real estate activities (6.1%) among others, as shown in Table 3.

Table 3: Summary of Revised 2022 Sectoral Growth Projections

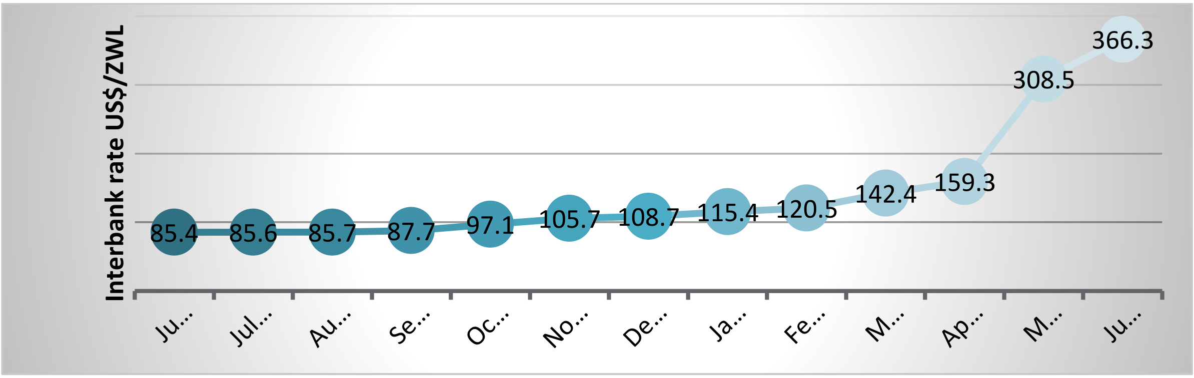
Sector	2022 Budget	2022 Revised
Agriculture, Hunting and Fishing and forestry	5.1	-5.0
Mining and quarrying	8.0	9.5
Manufacturing	5.5	3.6
Electricity, gas, steam and air conditioning supply	5.4	12.2
Construction	17.4	10.5
Accommodation and food service activities	18.8	50
Information and communication	2.4	5.3
Financial and insurance activities	5.3	5.2
Real estate activities	1.7	6.1
Education	2.9	4.8
Gross Domestic Product	**5.5**	**4.6**

Source: 2022 Mid-Term Budget Review

4.3 Exchange Rate Developments

The Zimbabwe dollar lost its value from an average of US$1:142.4 as at 31 March 2022 to US$1:ZW$366.3 as at 30 June 2022. The depreciation was mainly driven by higher demand for foreign currency as a store of value, and forward exchange rate pricing due to high inflation expectations. Figure 1 displays the changes in exchange rates.

Figure 1: Interbank Exchange Rate June 2021 to June 2022 (US$/ZW$) – End of Period

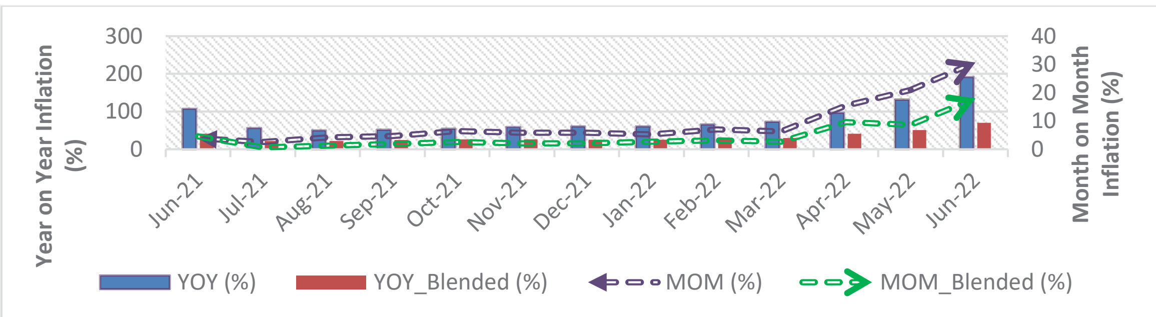


Source: Reserve Bank of Zimbabwe

4.4 Inflation Developments

The annual inflation rate increased to 191.6% in June of 2022, from 72.7% recorded at the end of March 2022, as driven by behavioural factors such as confidence, adverse future inflation expectations, and arbitrage behaviour and opportunities. The month-on-month inflation stood at 30.7% as at 30 June 2022, up from 6.3% recorded as at 31 March 2022. Figure 2 illustrates the inflation trend from June 2021 to June 2022.

Figure 2: Inflation profile (%), June 2021 to June 2022



Source: Zimbabwe National Statistics Agency

4.5 Zimbabwe Stock Exchange Performance

The All-Share index, Top 10 index, and Medium Cap index experienced gains of 25%, 17%, and 58% respectively during the quarter under review. The stock market saw increases as a result of quick price changes and the success of businesses with listed stocks. The market capitalization increased by 24% from ZW$1.97 trillion in the previous quarter to ZW$2.44 trillion as at 30 June 2022. Table 4 summarises changes in the key stock market indicators.

Table 4: Changes in the Key Stock Market Indicators

ZSE Indicator	March-2022	June-2022	Change (%)
All share index (points)	15, 833.55	19,791.94	25
Top 10 Index (points)	10, 490.38	12, 273.75	17
Medium Cap Index (points)	25, 692.6	40, 627.22	58
Small Cap Index (points)	399,696.2	499,070.3	25
Market Capitalisation (ZW$ trillion)	1.97	2.44	24
Shares traded (million)	578.9	660	14
Market turnover (ZW$ billion)	20.5	35	71

Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX) Performance

The VFEX All share index was also bullish, during the quarter under analysis gaining by 7.72% to close at 115.39 points. However, total turnover declined by 39.6% from US$5.3 million recorded in the first quarter of 2022 to US$3.2 million. Market capitalisation also declined in the quarter by 7.69% from US$253.7 million to US$273.2 million.

4.6 Money Market Developments

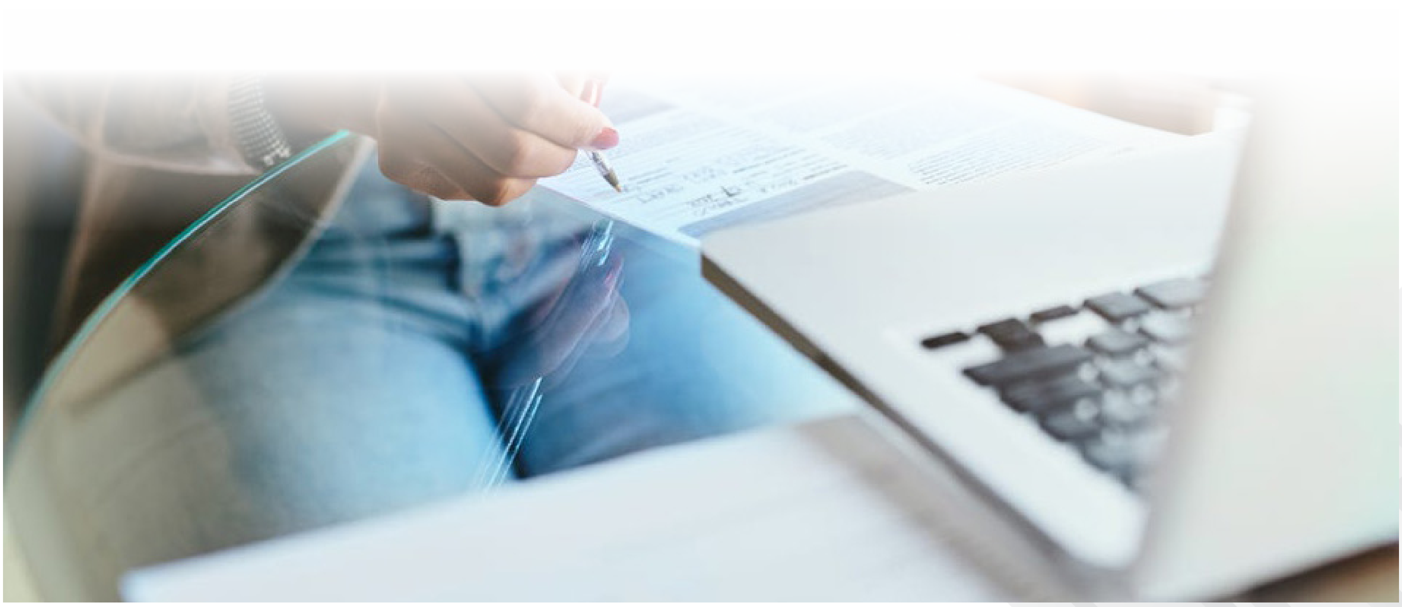
Savings Deposit Rates

The annual inflation rate at 191.6% as at 30 June 2022, remained higher than the rates on savings deposits, which were under 20%. This suggests that money market investments continue to yield negative real returns.

4.7 COVID-19 Updates

As at 30 June 2022, there were 541.3 million confirmed cases of Covid-19 worldwide, a 13% increase from the 479.3 million cases recorded at the end of March 2022. The total number of deaths caused by the pandemic rose from 6.1 million recorded as at 31 March 2022 to 6.3 million cases as at June 2022 (WHO, 2022).

The total number of Covid-19 cases reported in Zimbabwe rose from 246, 286 as at 31 March 2022 to 255, 586 cases reported as at 29 June 2022. Over the same period, the recovery rate increased from 96% to 97%. The number of deaths related to COVID-19 also increased, from 5,444 to 5,555 cases. A total of 4.6 million individuals were completely vaccinated as at 29 June 2022.



5 Regulatory Developments for the Half year ended 30 June 2022

Circulars and Statutory Instruments

5.1 The Commission issued the following Statutory Instruments and Circulars to the Insurance Industry as shown in Table 5 below.

Table 5: Statutory Instruments and Circulars issued

Statutory Instrument (S.I.)	Date Gazetted	Purpose
S.I. 45 of 2022	18 March 2022	Revision of fees payable to the Commission.
S.I. 46 of 2022	18 March 2022	Revision of levies payable to the Commission.
Circulars	**Date of Issue**	**Purpose**
Circular 3 of 2022	7 February 2022	2022 Global Money Week Activities.
Circular 4 of 2022	3 February 2022	International Financial reporting standard (IFRS) 17 Training.
Circular 5 of 2022	7 February 2022	Zimbabwe Integrating Capital and Risk Programme (ZICARP) Pillar 1 31 December 2021 reporting.
Circular 8 of 2022	14 February 2022	Financial Intelligence Unit directive on revised thresholds for cash transaction report, electronic funds transfer, and international funds transfers.
Circular 9 of 2022	15 February 2022	Appointment of Beacon Actuarial Services to Develop

Statutory Instrument (S.I.)	Date Gazetted	Purpose
		Mortality tables for the Zimbabwean Insurance and Pensions industry.
Circular 10 of 2022	4 March 2022	Guidance Paper implementation: Clarification on the roles of Fund Administrators, Actuaries, Accountants and Asset Managers.
Circular 12 of 2022	29 March 2022	Registration requirements for Individual Agents.
Circular 13 of 2022	18 March 2022	Notification of Publication of the Insurance and Pensions (Levy) Regulations, 2022 and Insurance (Amendment) Regulations, 2022.
Circular 14 of 2022	29 March 2022	Amendment to the Directive on Governance and Risk Management for Insurance Companies.
Circular 15 of 2022	24 March 2022	Zimbabwe Integrating Capital and Risk Programme (ZICARP) Training Way Forward.
Circular 16 of 2022	23 March 2022	Registration of Insurance and Pensions industry players on goAML.

Statutory Instrument (S.I.)	Date Gazetted	Purpose
Circular 17 of 2022	28 March 2022	Mortality Tables Development Project- Industry Workshop.
Circular 20 of 2022	03 May 2022	Mortality Tables Development Project- Request for data.
Circular 21 of 2022	09 May 2022	Call for inputs-Insurance and Pensions Industry response paper to policy measures to restore confidence, preserve value and restore macro-economic stability-President's speech (07 May 2022)
Circular 22 of 2022	12 May 2022	Presentation of Mock Own Risk and Solvency Assessment (ORSA) results.
Circular 26 of 2022	15 June 2022	Request for the Insurance and Pensions Industry's input into the 2022 mid-term national budget review.

6 Life Assurance Sector Architecture

6.2 For the half year-ended 30 June 2022, there were 12 registered Life Assurers and four (4) registered Life Reassurers under the supervision of the Insurance and Pensions Commission (IPEC). However, this report is based on 11 out of the 12 direct Life Assurers, and the four Reassurers.

6.3 Heritage Life failed to submit returns for the half-ended 30 June 2022.

6.4 Life Assurers had 1, 388 agents comprising both Corporate agents and Individual life agents as shown in table four(6) below:

Table 6: Distribution of Life Agents, Staff and Branches across Life Assurers

LIFE ASSURANCE INDUSTRY STRUCTURE					
Name Of Company	Corporate Agents		Sole Agents		Total
	Jun-21	Jun-22	Jun-21	Jun-22	Jun-22
CBZ Life	3	3	30	35	38
Doves Life	0	0	120	192	192
Econet Life	0	0	0	0	0
Evolution Health and Life	0	0	0	0	0
Fidelity Life	0	0	46	34	34
First Mutual Life	0	0	220	220	220
Nhaka Life	1	1	11	16	17
Heritage Life	0	0	11	0	0
Nyaradzo Life	7	9	313	345	354
Old Mutual Life	13	13	177	139	152
ZB Life	0	0	153	130	130
Zimnat Life	0	0	220	251	251
Total	**24**	**26**	**1301**	**1362**	**1388**

****Heritage Life failed to submit its returns for Q2 of 2022***

6.5 As at 30 June 2022, the number of agents for the life assurance sector increased by 42 from 1, 346 reported as at 30 June 2021 to 1, 388 reported as at 30 June 2022.

7 Performance in Terms of Gross Premium Written

7.1 For the half year-ended 30 June 2022, GPW by direct Life Assurers grew by 141% in nominal terms from ZW$7.4 billion recorded for the half year-ended 30 June 2021 to ZW$17.7 billion for the current reporting period.

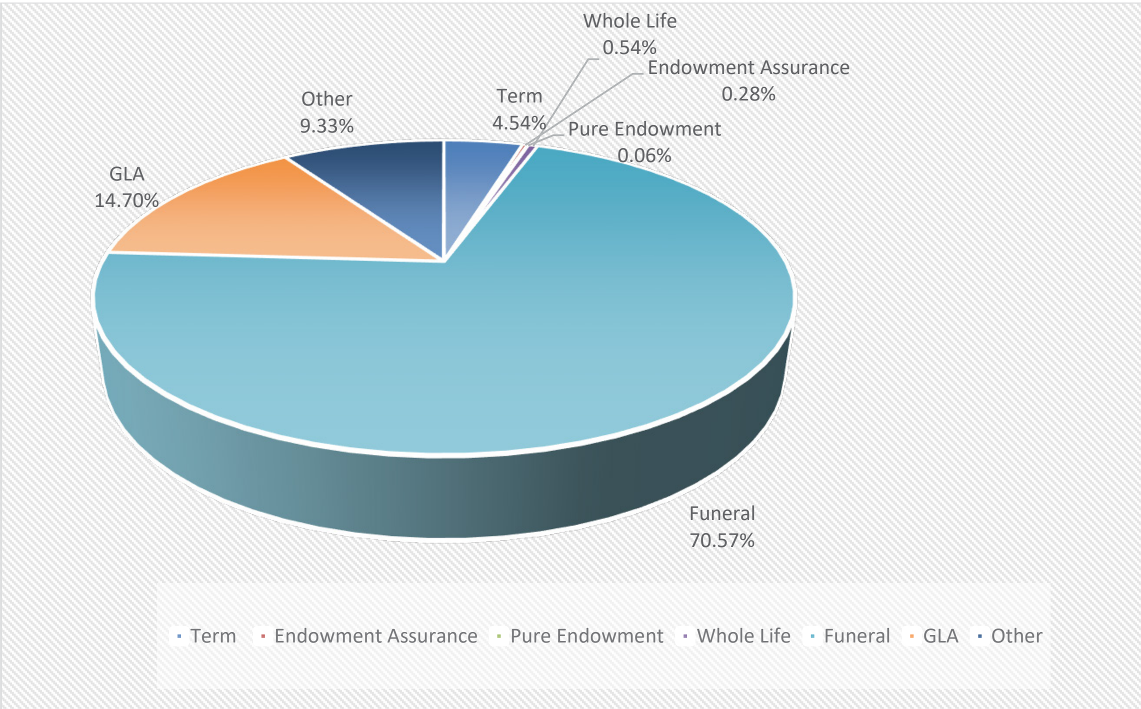
7.2 Based on inflation-adjusted figures, GPW grew by 26% from ZW$7.4 billion in June 2022 to ZW$9.3 billion during the period under review. The positive real growth in GPW is attributable to an increase in premiums in response to inflationary pressures. .

7.3 Growth in traditional Life Assurance business improved significantly from the prior year, with growth rates well above the annual inflation rate of 191.6% as at the end of June 2022.

7.4 The main drivers of growth in GPW for the half-year ended 30 June 2022 were Funeral and Group Life Assurance business, which contributed 85.27% of the total premium.

7.5 Figure 3 below shows the distribution of business written by product line.

Figure 3: Distribution of Gross Premium Written (GPW) by Product Line



Breakdown by Product

7.6 In terms of business composition, 71% of the total GPW was generated from Funeral Assurance business.

7.7 Funeral Assurance policies continue to dominate Life Assurance product lines because of their defined benefit nature especially during the current inflationary environment.

7.8 Traditional Life Assurance products, which include term assurance, endowment policies, pure endowment and whole life accounted for a small proportion of business generated by Life Assurers.

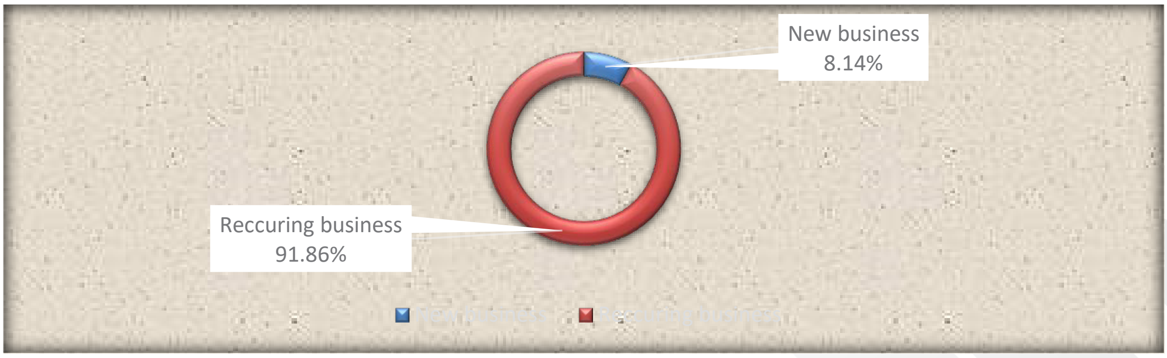
7.9 This reflects low appetite for traditional Life Assurance products by the market as confidence remains low after two successive episodes of loss of value.

7.10 The Commission continues to encourage all Life Assurers to re-package their products and align to policyholders' expectations in terms of value preservation and relevance.

7.11 This is very important given the low policyholder confidence due to legacy issues emanating from the 2009 and 2019 currency reforms induced loss of value.

7.12 The Life Assurance Sector's GPW for the half-year ended 30 June 2022 was skewed towards recurring business, which accounted for 92% of total business written. Figure 4 below shows the distribution of business by source.

Figure 4: Business Composition for Life Assurers for the half year ended 30 June 2022



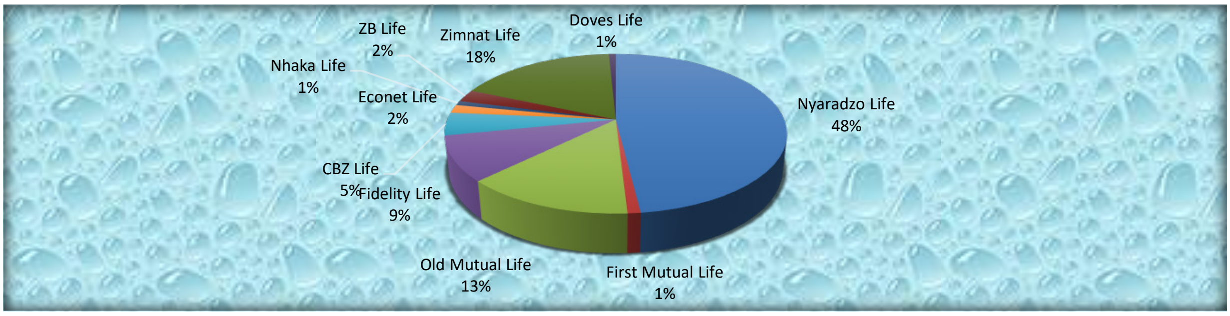
7.13 The low GPW generated from new business is in tandem with the prevailing volatile macro-economic environment, which limits the uptake of new business due to low disposable incomes.

Foreign Currency Business

7.14 For the half-year ended 30 June 2022, the Life Assurance Sector wrote Foreign Currency business amounting to USD9 million.

7.15 The breakdown of the Foreign Currency business written by the Life Assurance Sector is shown in figure 5 below:

Figure 5: Distribution of Foreign Currency Business (GPW) for the half year ended 30 June 2022



8 Not Taken Up (NTU) Policies for the Half- Year ended 30 June 2022

8.1 For the Half-Year ended 30 June 2022, the Life Assurance Sector reported a total of 52, 442 not taken up (NTU) policies with a total nominal gross premium of ZW$105.3 million (See Table 7 below).

Table 7: Not Taken Up Policies

Company	Number of Policies	Nominal Gross Premium $(000)
Nyaradzo	-	-
Nhaka	367	1,071
Evolution	-	-
Doves	-	-
Old Mutual	101	291
Zimnat	2,484	6,731
CBZ	-	-
First Mutual	23	37
Fidelity	69	375
ZB	126	294
Econet	49,268	96,467
Total	**52,442**	**105,266**

8.2 The premium lost due to Not Taken Up (NTU) policies is significant, considering the value of new business of ZW$1.5 billion reported in the current reporting period.

Lapsable Policies

8.3 For the half-year ended 30 June 2022, the sector had a total of 1.9 million lapsable policies. A total of 79,677 policies lapsed during the half-year ended 30 June 2022, translating to a lapse ratio of about 4%.

8.4 The lapse ratio of 4% is lower than the lapse ratio of 10% recorded for the comparative period ended 30 June 2021.

Table 8: Lapse ratios for the Half-Year ended 30 June 2022

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapse Ratio
Nyaradzo	577,244	13,822	2,201	**2.78%**
Nhaka	950	83	0.00%	**8.74%**
Evolution	-	-	-	**0.00%**
Doves	-	-	-	**0.00%**
Old Mutual	79,933	2,255	-	**2.82%**
Zimnat	52,907	11,402	-	**21.55%**
CBZ	60,101	2,348	-	**3.91%**
First Mutual	71,583	3,139	0	**4.39%**
Fidelity	178	303	-	**170.22%**
ZB	20,912	3,517	-	**16.82%**
Econet	1,037,793	40,607	-	**3.91%**
Total	**1,901,601**	**77,476**	**2,201**	**4.19%**

***Heritage Life failed to submit its returns*

9 Capitalisation

9.1 Adequate capitalisation is crucial for resilience of the Life Assurance Sector and policyholder protection in times of financial distress.

9.2 Adequate capitalisation also helps to increase policyholder confidence within the insurance industry.

9.3 As at 30 June 2022, all the 11 direct Life Assurers, reported capital positions that were compliant with the MCR of ZW$75 million (see Table 7 below):

Table 9: Trends in the Capital Positions for Life Assurance Companies

Company	Capital Position Trend ZW$(000)	
	2022 Q2	**2022 Q1**
CBZ	3,162,733	1,081,486
Doves**	3,024,553	3,185,014
Econet	4,152,541	2,598,784
Evolution	331,939	382,302
Fidelity	817,001	216,527
First Mutual	12,318,912	3,916,822
Nhaka	275,724	147,047
Heritage	-	-
Nyaradzo	11,323,925	8,646,756
Old Mutual	57,980,146	42,246,418
ZB	2,083,318	2,097,997
Zimnat	2,934,906	1,253,781
Total	**98,405,698**	**65,772,934**

9.4 Entities are encouraged to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017 and to submit ZICARP Framework dry runs.

9.5 Meanwhile, the development of the new US$-indexed MCR is still work in progress and the promulgation of the relevant regulations is expected soon.

10 Asset quality

10.1 As at 30 June 2022, the sector reported total assets amounting to ZW$194.8 billion in nominal terms, representing a nominal growth of 71% from ZW$114.1 billion reported as at 31 March 2022.

10.2 The growth in the sector's assets was mainly driven by an increase in values of quoted equities on the Zimbabwe Stock Exchange and increases in value of properties.

10.3 The increase in the value of equities was attributable to the bull-run on the Zimbabwe Stock Exchange (fair value adjustments) while the increase in the value of fixed properties was on account of property revaluations.

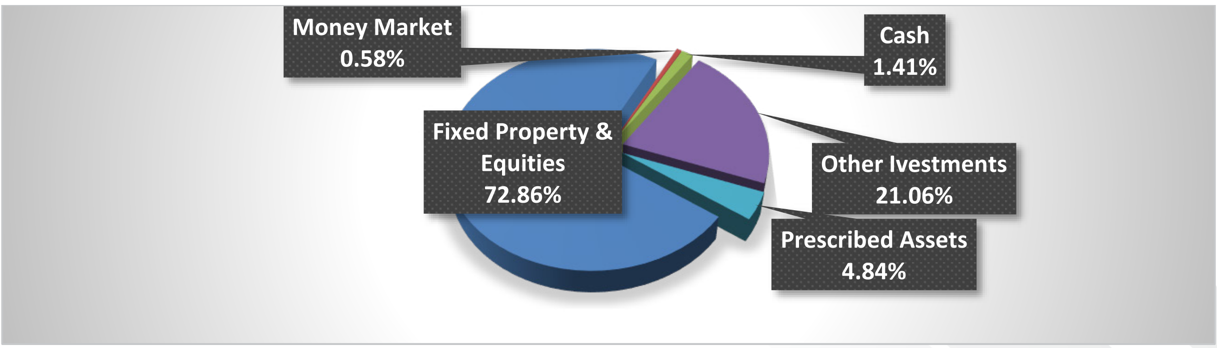
10.4 Fixed Properties and Equities constituted 72.9% of the total assets for Life Assurers. Concentration of the Sector's assets in long-term investments, reflects the general long-term nature of liabilities for the Life Assurance Sector.

10.5 In terms of asset allocation, the Sector was non-compliant with investment guidelines as prescribed in Circular 1 of 2013.

10.6 The Life Assurance Sector entities are expected to continuously adhere to the requirements of this Circular and align their investment policies to the dictates of the Circular to match their liability profiles.

10.7 Figure 6 below, shows the asset breakdown for the Life Assurance Sector for the half-year-ended 30 June 2022.

Figure 6: Assets Breakdown as at 30 June 2022



**Other investments include plant and equipment, receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares*

Prescribed Assets

10.8 Two out of the 11 life assurers were compliant with the minimum prescribed asset ratio- of total assets.

10.9 Nhaka and Fidelity Life Assurance companies reported 78.9% and 16.4% of prescribed asset investments, respectively.

10.10 For the half year under review, the total investments in prescribed assets by the Life Assurance Sector, amounted to ZW$9.4 billion translating to a Sector compliance level of 4.84%.

10.11 With the introduction of Gold Coins, that have been accorded Prescribed Asset Status, the Commission expects compliance ratios to gradually improve.

10.12 Prescribed assets investments are an important resource mobilisation tool for funding projects of national importance for socio-economic development.

10.13 The Commission is continuously engaging Life Assurance entities to develop prescribed asset compliance plans and to invest in value-preserving projects that can be accorded prescribed asset status, as a way of ensuring both compliance and policyholder value.

11 Reassurance

11.1 Out of the ZW$17.7 billion GPW written by direct Life Assurers during the period under review, ZW$468.2 million was ceded, translating to a reassurance ratio of 2.64%.

11.2 The reassurance ratio for the Life Assurance Sector remains low. The Commission, therefore, calls for sector players to fully embrace reassurance as a risk management tool that helps to protect their balance sheets.

11.3 Reassurance is also important as a risk management tool especially during periods of high claims experience.

12 Earnings

12.1 In nominal terms, total profit after tax for Life Assurers increased by 212% from ZW$12.32 billion for the half-year ended 30 June 2021 to ZW$38.5 billion for the current reporting period.

12.2 This translates to an inflation-adjusted increase of 63%, indicating that the Sector recorded a positive real growth in profit after tax.

12.3 The increase in profitability was mainly due to significant property revaluation equity valuation gains.

12.4 The combined ratio for the Life Assurance Sector increased from 70% for half-year ended 30 June 2021 to 80% for the comparable period in 2022 (See annexure 1), indicating a decrease in underwriting profit.

12.5 This position is after adjusting for transfer to reserves, which were very significant for the half-year under review.

13 Liquidity

13.1 For the half-year under review, the Life Assurance Sector reported a total of ZW$18.3 billion in terms of current assets compared to ZW$10.1 billion reported for the period ended 31 March 2022.

13.2 Current liabilities amounted to ZW$72.2 billion, translating to negative working capital of ZW$53.9 billion, for the period under review.

13.3 The Life Assurance Sector's average current ratio was 25% as at 30 June 2022, showing insufficient liquidity to cover short-term contractual obligations as they fall due.

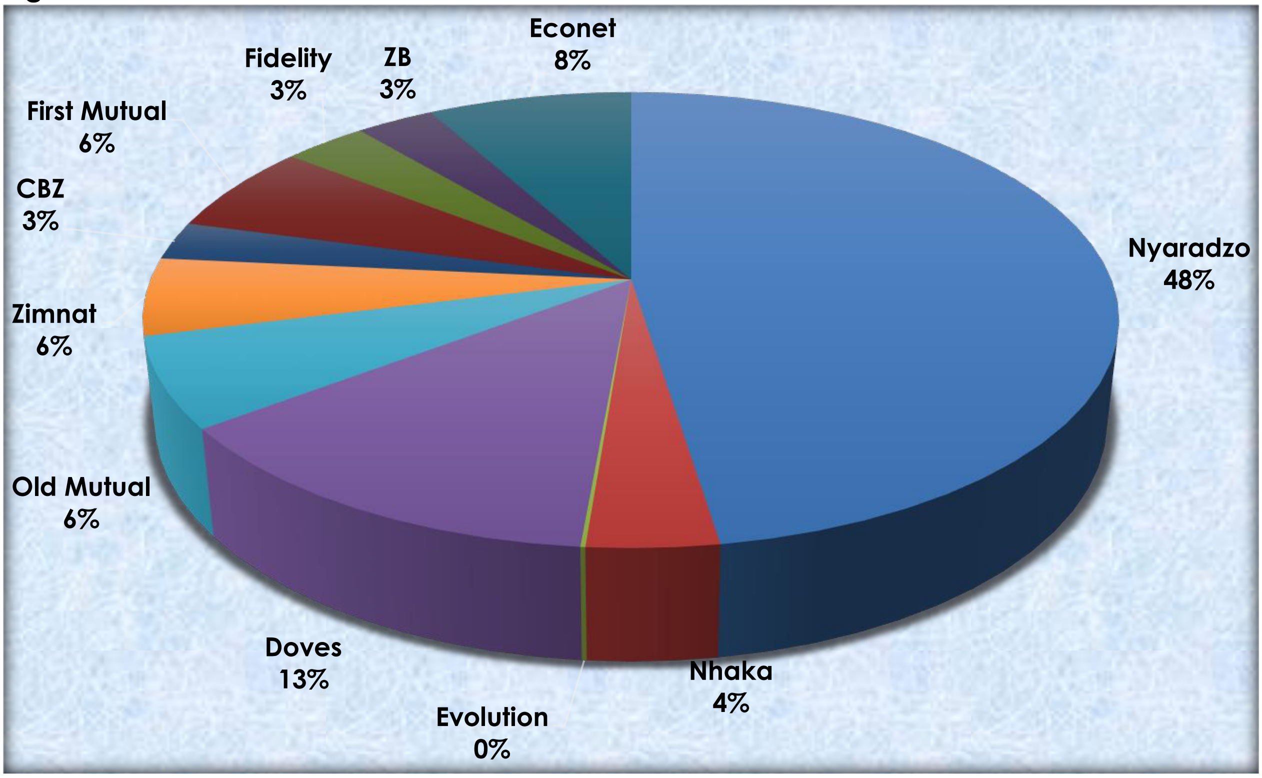
14 Market Share

14.1 For the half-year ended 30 June 2022, two entities dominated the Sector with a combined market share of 66% in terms of assets, with the other entities sharing the balance.

14.2 The market leaders in terms of GPW, are entities whose business portfolio is dominated by Funeral Assurance business, highlighting the dominance of funeral assurance business in the life assurance sector.

14.3 Figure 7 below shows the market share distribution for the Life Assurance Sector in terms of GPW:

Figure 7: Market Share in terms of GPW for the Half-Year ended 30 June 2022



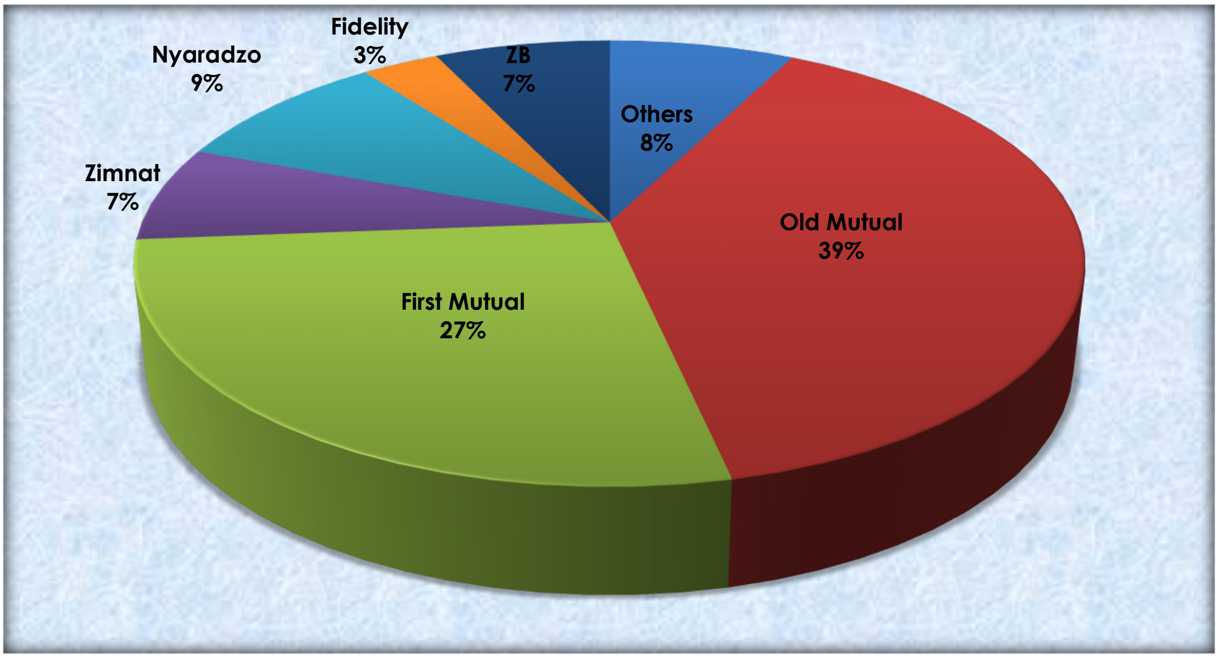
*

Heritage Life did not submit the returns for the half year

14.4 In terms of assets distribution one player continues to dominate the Sector with a share of 39% of total sector assets with the other entities sharing the remaining 61%.

14.5 Figure 8 below shows the distribution of assets by Entity.

Figure 8: Distribution of Assets by Life Assurance Players



**Other comprises Econet Life, Doves Life, Evolution Life, CBZ Life, and Nhaka Life.*
****Heritage Life did not submit the returns for the half year.***

15 Nature of the Reassurance Business

15.1 While all Life Reassurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to their Life Assurance business, except for their capital positions, which comprise both life and non-life position.

15.2 Please note that the figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.

15.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of the Common Market for Eastern and Southern Africa (COMESA) and writes business in all COMESA Member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

16 Performance in terms of Business Written

16.1 The volume of Life Reassurance business written, in terms of GPW, increased by 151% in nominal terms from ZW$237.6 million reported for the half-year ended 30 June 2021 to ZW$595.3 million for the half-year ended 30 June 2022 (See Table 8 below).

16.2 The growth was attributable to an increase in reassurance business and upwards review of premiums in response to rising inflation.

16.3 In real terms, the sector experienced a growth of 31% to inflation-adjusted GPW of ZW$310.7 million.

16.4 Life Reassurance companies reported Foreign Currency business amounting to US$1, 164, 921 for the half-year ended 30 June 2022.

Table 10: Breakdown of GPW for Reassurers

Company Name	Q2 2022 Total Premium (000)	Q2 2021 Total Premium (000)	2022 Q2 (Inflation adjusted ZWL$000)	Real Growth after inflation adjustment	Nominal Growth (%)
First Mutual Reinsurance	45,882	16,308	23,947	47%	181%
FBC Reinsurance	163,109	38,129	85,130	123%	328%
Emeritus Reinsurance	304,305	149,090	158,823	7%	104%
ZEP RE-Insurance	82,022	34,059	42,809	26%	141%
Total	595,318	237,586	310,709	31%	151%

17 Capitalisation

17.1 As at 30 June 2022, all four Composite Reassurers were compliant with the MCR of ZW$112.5 million based on their unaudited returns (see Table 9 below).

17.2 Adequate capitalisation is crucial for resilience and protection of the underlying policyholders' contracts with direct Life Assurers.

17.3 All entities are encouraged to continuously carry out own capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017 and the ZICARP Framework.

Table 11: Trend in the Capital Position for Composite Reassurers

Company Name	Capital (Net Assets) Jun 2022 (ZWL$ 000)	Capital (Net Assets) Mar 2022 (ZWL$ 000)
First Mutual Reinsurance	326, 336	228, 844
Emeritus Reinsurance	2, 539, 900	1, 344, 658
FBC Reinsurance	1, 137, 851	966, 701
ZEP Re-insurance	481, 305	161, 540
Totals	**4, 485, 392**	**2, 701, 743**

**Please note, the capital positions above comprises both life and non-life reassurance business (Composite Reassurance Business).*

18 Asset Quality

18.1 Total assets for life reassurers grew by 59% from ZW$4.6 billion reported as at 31 March 2022 to ZW$7.3 billion as at 30 June 2022.

18.2 The growth in total assets was mainly due to the general increase in asset values on account of significant fair value adjustments and revaluations.

18.3 Other investments constituted 49.8% of the total assets, while fixed property constituted 8.7%.

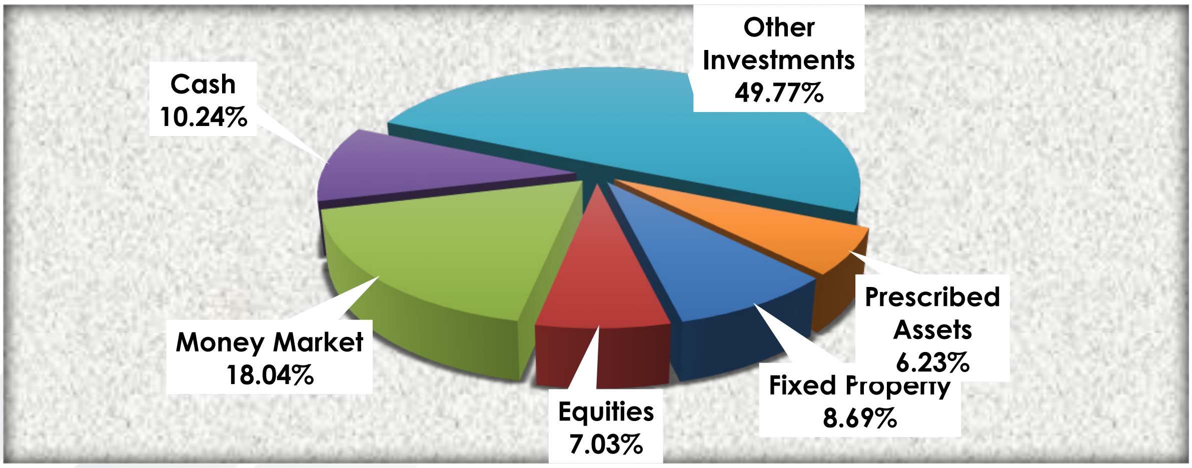
18.4 Liquid assets such as money market instruments and cash, constituted only 10.2% of the total assets.

18.5 The sector players are urged to hold adequate liquidity for settling claims, given that the sector mainly writes short-term insurance contracts, covering the risk of life assurance companies.

18.6 However, more investments in long-term assets reflect sound management decisions in preserving value for policyholders amid the unfavourable investment performance from money markets in the obtaining inflationary environment.

18.7 In an inflationary environment, Sector players are encouraged to be prudent by investing in value-preserving assets to protect policyholder funds.

Figure 9: Life Reassurers' Total Assets



**Other investments below include plant and equipment, deferred tax asset, deferred acquisition costs and unquoted shares.*

Prescribed Assets

18.8 As at 30 June 2022, only one (1) out of the four (4) Life Reassurers was compliant with the minimum prescribed asset threshold of 15% of total assets.

18.9 Total investments in prescribed assets by the Life Reassurance Sector amounted to just over ZW$350 million, translating to an average compliance level of 7.71%.

18.10 With the introduction of Gold Coins, that have been accorded Prescribed Asset Status, the Commission expects compliance ratios to gradually improve.

18.11 Prescribed asset investments are an important resource mobilisation tool for funding projects of national importance for socio-economic development.

18.12 The Commission urges non-compliant Life Reassurers to develop prescribed asset compliance plans and is closely monitoring, implementation of the compliance plans.

Table 12: Prescribed Assets Ratios for Reassurance Sector Players.

Reinsurer	Prescribed asset Investments ZW$ (000)	Total assets ZW$ (000)	Prescribed asset ratio %	Amount required to be compliant ZW$ (000)	Variance in compliance%
First Mutual Reinsurance	46, 661	341, 761	13.65%	4, 603	1.3%
FBC Reinsurance	283, 922	4, 983, 476	5.70%	463, 599	9.3%
Emeritus Reinsurance	0	1, 351, 990	0.00%	202, 799	15.0%
ZEP RE-Insurance	122, 278	594, 796	20.56%	-	0.0%
Total	**452, 861**	**7,272, 023**	**6.23%**	**637, 942**	**8.8%**

19 Earnings

19.1 For the half-year ended 30 June 2022, the Life Reassurance Sector's profit after tax increased by 32.8% from ZW$438.5 million reported for the half-year ended 30 June 2021, to ZW$582.3 million for the current reporting period.

19.2 In real terms, profit after tax for Life Reassurers increased by 53% to ZW$303.9 million for the half-year ended 30 June 2022.

19.3 The decrease in profit after tax is mainly attributed to significant increases in operating expenses by more than the proportionate increase in the fair value adjustments in assets.

19.4 In terms of underwriting profits, the Reassurance Sector recorded a profit of ZW$106 million. The underwriting profit was mainly driven by high premium income, because of increases in the amount of Group Life Assurance business fand a reduction in claims and commission costs in real terms.

19.5 The Life Reassurance Sector had a combined ratio of 80% for the half-year ended 30 June 2022.

19.6 The Commission encourages the sector to employ prudent cost-cutting measures and widen their premium income streams, to continue improving their combined ratios.

20 Liquidity

20.1 As at 30 June 2022, the Life Reassurance Sector reported current assets amounting to ZW$5.6 billion.

20.2 Current liabilities amounted to ZW$2.8 billion, translating to working capital of ZW$2.6 billion as at 30 June 2022.

20.3 The Life Reassurance Sector's average current ratio was 200% as at 30 June 2022, showing sufficient liquidity to cover short-term contractual obligations as they fall due.

20.4 Though liquidity for the Sector has significantly increased, it is imperative for the sector to continue holding enough current assets to cover its current liabilities.

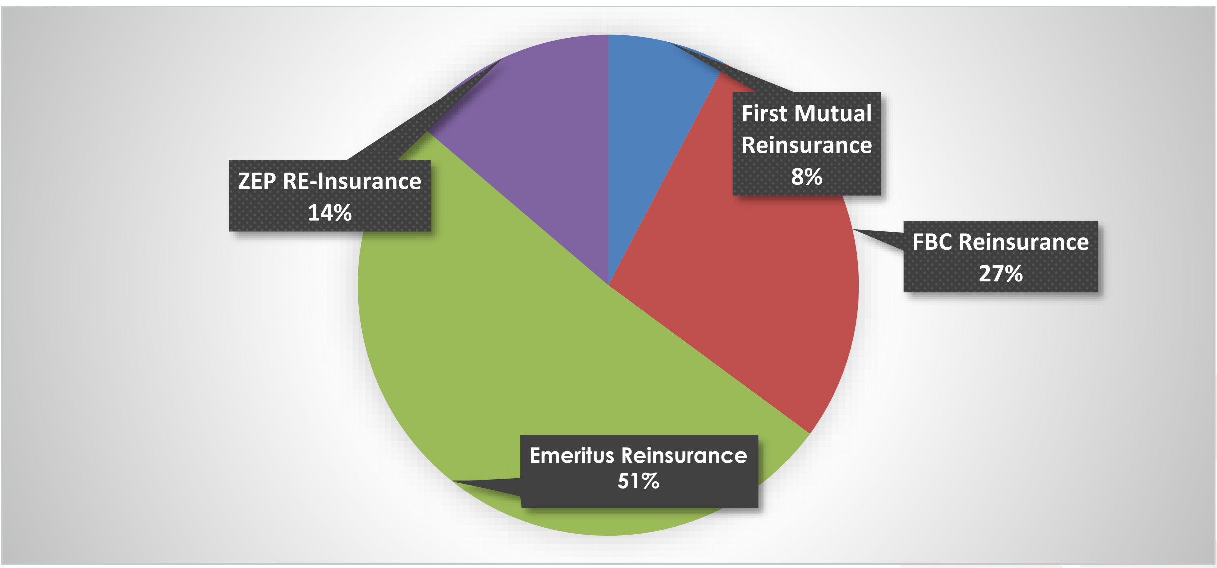
21 Market Share

Market Share in terms of GPW

21.1 GPW for the Life Reassurance Sector remains concentrated in one player, controlling a market share of 51% while the remaining three entities controlled the remaining 49%.

21.2 The breakdown of the market share of Sector players in terms of GPW, is shown in Figure 10 below:

Figure 10: Market Share by Gross Premium Written

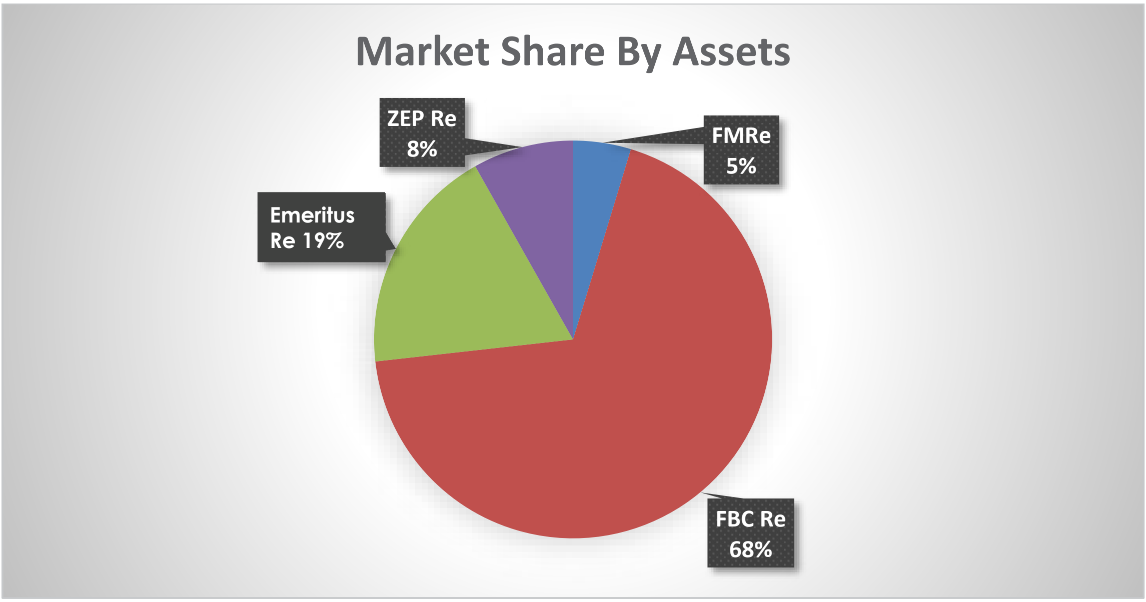


Market Share in terms of Total Assets

21.3 In terms of total assets, one player controlled 68% of the total assets, while the remaining three players controlled 32% of the sector total assets.

21.4 Breakdown of sector assets by players, is shown in Figure 11 below.

Figure 11: Market Share Distribution in Terms of Total Assets

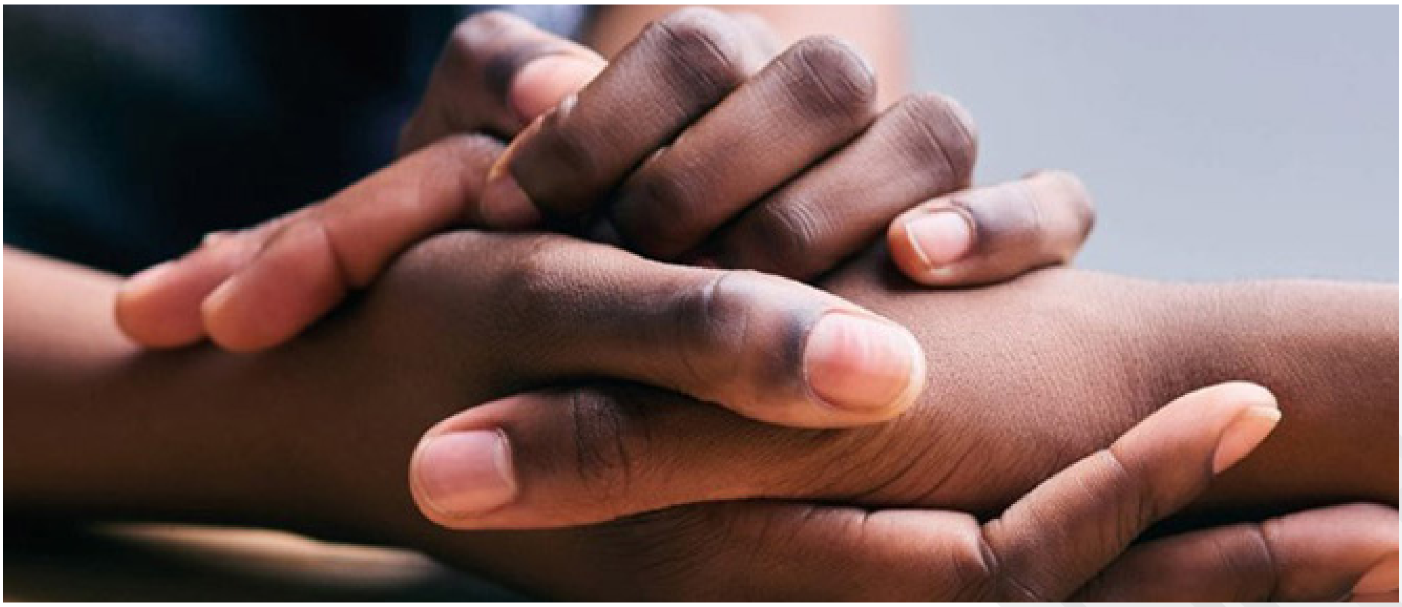


22 Complaints

22.1 During the half-year under review, the Commission received 39 life assurance-related complaints, and of these complaints twenty-three (23) were resolved while 16 are still outstanding. The major source of complaints, is low value benefits on pre-2009 policies, constituting 41 percent of the complaints, while unsatisfactory service, constituted 36 percent.

Nature of complaints	Number of complaints	% of total
Repudiation of claims	6	15%
Unsatisfactory service offered	14	36%
Low values pay-outs (2009 policies)	16	41
Delay in settlement	3	8%
Total	**39**	**100%**

22.2 The Commission continues to implore Life Assurers to engage and educate their clients regularly. The sector is also encouraged to offer satisfactory service to their clients and to endeavour to always treat their customers in a fair and transparent manner as this will help to reduce incidences of complaints.



23 Anti-Money Laundering and Combating Financing of Terrorism and Proliferation Financing (AML/CFT/CPF) Awareness Corner

Suspicious Transaction Reports

Introduction & Background

23.1 Following the removal of Zimbabwe from enhanced monitoring by the Financial Action Taskforce (FATF) International Co-operation Review Group, dubbed the 'Grey List' in March 2022, the country is now focusing more on improving effectiveness of AML/CFT/CPF measures.

23.2 One of the deficient areas identified in the 2nd Round Eastern and Southern Africa Anti-Money Laundering Group (ESAAMLG) Mutual Evaluation Report for Zimbabwe of 2016 was low level of suspicious transactions reports (STRs) and activities filed with the Financial Intelligence Unit (FIU) by non-bank financial institutions including the insurance sector. The main reasons cited for the low reporting were:

- Majority of entities lack awareness on the implementation of control measures; and
- A lack of understanding of the protection offered under the Money Laundering and Proceed of Crime Act *[Chapter 9:24]* in relation to reporting suspicious transactions.

23.3 The 2016 Mutual Evaluation Report revealed that the insurance sector filed one (1) report in 2013 and four (4) reports in 2014. From January 2016 to April 2022, the FIU reported that only three (3) STRs had been reported by the sector.

23.4 It is, therefore, important to note that filing of STRs is a requirement in terms of the following Financial Action Task Force (FATF) Recommendations:-

Recommendation 20: All suspicious transactions, including attempted transactions, should be reported regardless of the amount of the transaction.

Recommendation 21: Financial institutions (FIs), their directors, officers and employees should be protected by law if they report their suspicions to the FIU. FIs should be prohibited by law from disclosing ("tipping-off") the fact that a suspicious transaction report (STR) or related information is being filed with the FIU.

23.5 Accordingly, requirements of Recommendations 20 and 21 of the FATF Recommendations were domesticated in the Money Laundering and Proceeds of Crime Act [Chapter 9:24], under section 30.

23.6 Therefore, Filing of Suspicious Transactions is a legal requirement, which is part of transaction monitoring. The main goal of transaction monitoring is to ensure that proceeds of crime should be prevented from entering the financial and other sectors or are detected and reported by these sectors.

What Constitutes a Suspicious Transaction Report (STR)

23.7 STRs must involve proceeds of crime or linked to or is to be used for terrorism acts or by terrorist organisations. Regulated entities must report any transactions including attempted transactions which could constitute proceeds of crime or be linked to terrorism or its financing.

23.8 A suspicious transactions report must be submitted directly to the FIU if there is reasonable ground to suspect that a financial transaction occurred or the attempted commission of an ML/TF/PF offence.

23.9 On 23 March 2022, the Commission issued Circular 16 of 2022 requesting regulated entities to register on GoAML a platform that facilitates communication with FIU and easy filing of STRs among other reporting obligations. All reporting entities must register on GoAML.

Typical Red Flags in the Insurance Sector

23.10 Entities should also be aware of elements of individual transactions and situations that might give rise to suspicion of money laundering and terrorist financing also known as red flags.

23.11 Boxes 1 to 6 highlights typical examples of red flags relevant in the life insurance sector. The lists are not exhaustive.

Box 1: Life Insurance Product Red Flags
• Acceptance of payments or receipts from third parties • Flexibility on early surrenders or partial withdrawal and without prohibitive financial loss; • Tradability of the product on the secondary market • Being used as collateral for a loan and/or written in a discretionary or other increased risk trust • Acceptance of overpayments. • Use of the policy as collateral/security

Box 2: Transactional Red Flags
• Dirty money being used to capitalise a start-up insurance company • The receipt of premiums from offshore and/or lightly or unregulated financial intermediaries. • Premium paid from a foreign account in a different jurisdiction to the domicile or residence of the policyholder. • Premium is paid by an unrelated third party • Early redemption of a policy when the surrender value is less than the value of premiums paid • Request for a purchase of a significantly large single premium policy for a large assured sum. • Change in beneficiaries to include non-family members

Box 3: Intermediaries – Agents and Brokers

- Changes in employee or agent performance e.g., selling policy for cash, remarkable or unexpected increase sales volume
- Excessive commission paid to an intermediary.
- Premium financing arrangements between policyholders and intermediaries, which may obscure source of funds or large unusual cash payments.

Box 4: Reinsurers

- International business involving forex due to cross border nature
- ML/TF through establishing fictitious reinsurance companies or intermediaries, fronting arrangements or misuse of normal reinsurance transactions.
- The deliberate placement via the insurer of the proceeds of crime or terrorist funds with reinsurers in order to disguise the source of funds

Box 5: Customer Red Flags
Natural Persons • Transactions involving persons residing in tax havens • Transactions carried out on behalf of minors, incapacitated persons or other persons who may lack the economic capacity to make such purchases • Transactions involving persons who are being tried or have been sentenced for crimes or who are publicly known to be linked to criminal activities involving illegal enrichment
Legal Persons ▪ Charities and other "not for profit" organisations, especially those operating on a "cross-border" basis). ▪ Legal persons with complex ownership structure which makes it difficult to identify the ultimate beneficial owner or controlling interests ▪ Transactions involving recently created legal persons, when the amount is large compared to their assets.

Box 6: Geographic Red Flags
• Countries identified by UN, FATF and FSRB Statements as having weak AML/CFT regimes • Cross border elements such as the insurer, the customer and the beneficiary of the contract being in separate jurisdictions • A request to insure goods or assets in transit to or situated in:- - Countries where terrorism - the production of drugs - drug trafficking or an organised criminal activity may be prevalent

Regulator's Role in STRs

23.12 No STR should be filed with the regulator IPEC. All STRs must be filed directly with the FIU.

23.13 However, IPEC as a competent supervisor is required in terms of Section 30 (4) of the MLPC Act to "…. inform the FIU if, in the course of discharging its responsibilities—

(a) it discovers facts that could be related to money laundering or terrorist financing; or

(b) it appears to the supervisory authority that a financial institution of which it is the supervisory authority, or any of their respective directors, officers or employees, is not complying or has not complied with the obligations set out in this section or the MLPC Act generally."

Inapplicability of confidentiality provisions and prohibition against tipping-off

23.14 Section 31 (1)of the MLPC Act stipulates that no secrecy or confidentiality provision in any other law shall prevent a financial institution or designated non-financial business or profession from fulfilling its obligations under section 30 or the other provisions of the MLPC Act.

23.15 Subsection (2) of the Act prohibits tipping off, and states that no financial institution nor any director, partner, officer, principal or employee thereof, shall disclose to any of their customers or a third party that a report or any other information concerning suspected money laundering or financing of terrorism will be, is being or has been submitted to the FIU, or that a money laundering or financing of terrorism investigation is being or has been carried out, except in the circumstances set forth in subsection (3) or when otherwise required by law to do so".

23.16 The only exception is subsection (3) whereby, "a disclosure may be made to carry out a function that a person has relating to the enforcement of any provision of the MLPC Act or of any other enactment, or, in the case of a legal practitioner or accountant, when seeking to dissuade a client from engaging in illegal activity"

Protection of identity of persons and information relating to suspicious transaction reports

23.17 Section 32 (1) of the MLPC Act states that except for the purposes of the due administration of the MLPC Act, no person shall disclose any information that will identify or is likely to identify the person who prepared or made a suspicious transaction report, or handled the underlying transaction.

Exemption from Liability for Good Faith Reporting of Suspicious Transactions

23.18 Section 33 of the MLPC Act, stipulates that no criminal, civil, disciplinary or administrative proceedings for breach of banking or professional secrecy or breach of contract shall lie against a financial institution or their respective directors, principals, officers, partners, professionals or employees who, in good faith, submit reports or provide information in accordance with the provisions of the Act.

24 Conclusion

24.1 The Commission encourages the Life Assurance Sector to strive to comply with all Regulatory requirements, Statutes, Directives, Guidelines, and Circulars on an ongoing basis.

24.2 The Sector is also encouraged to be highly innovative in terms of both product development as well as re-alignment of their business models to adapt to the unfolding realities in the market environment.

24.3 The Commission underscores the need for the sector to continuously strengthen their balance sheets, to withstand exogenous shocks that can have a devastating effect on their financial stability.

Annexure 1: Statement of Comprehensive Income for for Life Assurers

ANNEXURE 1: STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE QUARTER ENDED 30 JUNE 2022												
	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Life Assurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnat Life Assurance	CBZ Life Assurance	First Mutual Life Assurance Company	Fidelity Life Assurance	ZB Life Assurance	Econet Life Assurance	Totals
Gross Premium Written	8,433,386,795	655,533,414	24,259,037	2,352,484,297	1,134,040,878	974,989,670	483,161,583	1,127,387,124	582,573,860	544,798,194	1,421,888,064	17,734,502,915
Outward Reassurance Premium	-	183,720	981	-	156,842,239	140,981,466	56,359,718	-	21,109,623	15,770,373	76,962,197	468,210,317
Net Premium Written	8,433,386,795	655,349,695	24,258,056	2,352,484,297	977,198,639	834,008,204	426,801,865	1,127,387,124	561,464,237	529,027,821	1,344,925,866	17,266,292,598
Unearned Premiums	-	2,504,368	74,509	-	40,804,796	70,253,810	3,353,818	-	-	-	34,534,207	151,525,507
Net Earned Premium	8,433,386,795	652,845,327	24,183,547	2,352,484,297	936,393,843	763,754,394	423,448,047	1,127,387,124	561,464,237	529,027,821	1,310,391,659	17,114,767,091
Claims Paid	4,505,443,721	10,857,707	2,721,077	750,176,543	420,804,742	227,383,440	78,173,650	606,424,396	146,194,572	116,206,469	468,238,759	7,332,625,076
Claims Outstanding	-	-	-	-	-	-	9,208,904	-	-	1,756,241	4,929,916	15,895,061
Claims Incurred But Not Reported	-	1,128,408	1,667,265	-	169,657,811	-	-	-	-	-	42,462,237	214,915,721
Change in provision for investment	-	165,055,262	-	-	10,811,295,388	-	-	1,704,047,018	-	-	-	12,680,397,667
Change in provision for insurance	-	-	-	-	3,343,292,736	-	-	- 920,146,862	-	-	-	2,423,145,875
Transfer to Policyholder Funds	640,249,651	-	-	-	-	-	-	-	-	7,828,753,954	-	8,469,003,605
Net Claims	5,145,693,372	177,041,377	4,388,342	750,176,543	14,745,050,678	227,383,440	68,964,745	606,424,396	146,194,572	7,943,204,182	515,630,912	30,330,152,559
Management Expenses	1,826,228,809	2,540,004	-	440,036,705	83,701,277	436,204,165	-	-	-	222,834,246	-	3,011,545,206
Net Fees and Commission Paid	465,209,243	6,097,724	5,931,793	127,568,403	15,464,399	129,514,834	49,403,690	66,287,078	7,287,070	83,660,939	542,625	956,967,799
Underwriting Profit/(Loss)	996,255,371	467,166,221	13,863,412	1,034,702,646	(13,907,822,511.0	- 29,348,045	305,079,612	454,675,649	407,982,595	7,720,671,547	794,218,122	12,165,267,131
Fair value adjustments (positive)	-	302,558,550	-	-	34,361,994,528	5,463,857,587	1,858,328,170	7,148,220,781	389,050,103	2,592,601,077	2,036,923,339	54,153,534,135
Dividend income	29,499,277	-	-	-	369,032,808	-	3,539,121	67,377,638	2,383,163	26,531,415	19,847,498	518,210,920
Rental income	4,170,289	-	-	27,863,677	211,742,338	51,085,944	4,793,478	-	927,178	11,361,194	3,847,467	315,791,564
Other Income	418,628,729	6,625,363	-	3,661,922	28,399,699	1,060,232,072	73,959,609	-	-	- 11,645,309	1,220,986	1,581,083,070
Other Income2	1,065,536,907	7,961	-	-	-	4,777,208	76,551,487	-	-	223,713,982	8,680,366	1,379,267,912
Other Income3	-	40,650	-	-	-	86,277,483	-	-	- 89,887,255	5,110,965,460	-	5,107,396,338
Other Income4	-	895,727	-	-	-	-	-	-	89,122,690	-	-	90,018,417
Other Income5	-	- 22,943,547	-	-	-	-	-	-	-	-	-	- 22,943,547
Administrative Expenses	560,924,970	122,507,268	5,088,034	447,230,465	172,422,716	253,909,234	339,457,874	916,083,540	172,358,285	184,511,688	782,942,073	3,957,436,148
Other Expenses1	-	-	5,324,954	-	80,991,930	4,550,115,085	-	-	43,741,717	10,205,822	21,417,336	4,711,796,845
Other Expenses2	-	-	-	-	-	-	-	-	498,197,350	-	- 354,723,204	143,474,146
Other Expenses3	-	-	-	-	-	-	-	-	7,112,362	-	-	7,112,362
Other Expenses4	-	-	-	-	-	-	-	-	38,872	-	-	38,872
Earnings Before Interest and Taxation	1,873,332,420	631,843,657	3,450,424	618,997,780	20,809,932,215	1,832,857,930	1,982,793,603	8,586,357,608	78,129,888	38,138,762	2,415,101,573	38,870,935,860
Interest	12,663,563	-	-	-	-	-	14,826,325	193,076,286	36,187	6,224,979	5,895,784	232,723,124
Interest expense	-	-	-	1,114,214	-	-	5,185	-	-	-	9,060,863	10,180,262
Earnings Before Tax	1,885,995,984	631,843,657	3,450,424	617,883,566	20,809,932,215	1,832,857,930	1,997,614,743	8,779,433,894	78,166,075	44,363,741	2,411,936,494	39,093,478,723
Taxation	496,733,297	-	-	32,121,417	-	26,960,750	197,716	3,179,757	14,395,733	44,363,741	1,902,302	619,854,714
Earnings After Tax	1,389,262,687	631,843,657	3,450,424	585,762,149	20,809,932,215	1,805,897,180	1,997,417,027	8,776,254,136	63,770,342	-	2,410,034,192	38,473,624,009
Other Comprehensive Income	-	-	-	-	-	-	-	-	-	-	-	-
Other Comprehensive Income2	-	-	-	-	-	-	-	-	-	-	-	-
Other Comprehensive Income3	-	-	-	-	-	-	-	-	-	-	-	-
Total Comprehensive Profit/(Loss) for the Period	1,389,262,687	631,843,657	3,450,424	585,762,149	20,809,932,215	1,805,897,180	1,997,417,027	8,782,613,651	63,770,342	-	2,410,034,192	38,479,983,524
Total Comprehensive Profit/(Loss)	1,389,262,687	631,843,657	3,450,424	585,762,149	20,809,932,215	1,805,897,180	1,997,417,027	8,782,613,651	63,770,342	-	2,410,034,192	38,479,983,524

Annexure 2: Statement of Financial Position for Life Assurers

	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Life Assurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnat Life Assurance	CBZ Life Assurance	First Mutual Life Assurance Company	Fidelity Life Assurance	ZB Life Assurance	Econet Life Assurance	TOTALS
Non-Current Assets												
Intangible Assets	-	-	-	-	-	13,721,514	-	-	18,403,534	2,359,730	-	34,484,778
Property and Equipment	9,196,236,590	11,298,132	5,451,601	472,822,282	1,158,123,414	34,855,243	745,355,142	87,069,803	2,175,375	95,755,542	162,715,226	11,971,858,350
Investment Property	508,301,229	36,750,000	152,945,140	1,843,620,000	5,945,614,739	2,821,530,000	2,326,677,976	-	2,126,531,416	1,349,999,000	819,831,766	17,931,801,265
Investments: Quoted equities	1,312,851,190	-	4,855,987	107,192,152	58,261,232,878	3,578,404,979	768,458,180	8,855,913,408	904,911,911	727,589,525	2,470,134,515	76,991,544,725
Unquoted equities	593,810,525	91,000,000	165,715,650	1,925,250	4,740,361,120	4,997,362,541	66,164,586	2,026,936,821	2,453,528,047	2,117,662,060	513,001,957	17,767,468,556
Bonds	-	-	-	4,222	139,402,135	142,096,140	-	177,376,144	3,688,990	181,779,744	84,269,497	728,616,872
Deferred acquisition costs	-	-	-	-	-	-	33,254,844	-	-	-	-	33,254,844
Other Non-Current Assets1	-	949,655,000	9,137,300	-	-	57,765,922	-	40,765,631,945	-	9,094,379,073	91,603,013	50,968,172,254
Other Non-Current Assets2	-	3,842,476	-	-	-	-	-	-	-	2,075,079	263,616	6,181,171
Other Non-Current Assets3	-	-	-	-	-	33,197,939	-	-	-	-	-	33,197,939
Total Non-Current Assets	**11,611,199,534**	**1,092,545,608**	**338,105,678**	**2,425,563,906**	**70,244,734,286**	**11,678,934,278**	**3,939,910,728**	**51,912,928,121**	**5,509,239,273**	**13,571,599,752**	**4,182,714,705**	**176,507,475,869**
Current Assets												
Premium Receivable	-	-	-	4,613,181	126,634	32,312,714	13,683,655	190,438,439	62,368,416	-	12,684,782	316,227,821
Money market investments	71,138,912	-	5,000	-	571,352,406	177,860,062	79,302,147	221,335,213	-	149,259,021	79,163,888	1,349,416,648
Short term Investments	-	23,644,684	-	940,830	-	148,453,296	-	-	-	-	-	173,038,810
Other receivables	3,321,372,415	5,653,473	-	725,067,435	-	823,443,676	-	101,795,567	253,826,137	28,626,827	4,904,531	5,264,690,060
Cash and Bank Balances	591,118,014	19,293,908	860,562	70,258,414	863,209,943	566,016,330	93,735,014	428,933,957	271,738,336	132,950,846	225,043,097	3,263,158,421
Other Current Assets1	1,123,375,933	18,712,157	6,943,421	793,423,848	910,345,304	41,897,342	251,002	9,614,951	1,756,590	-	74,276,934	2,980,597,481
Other Current Assets2	931,161,161	43,076,316	-	-	53,477,482	-	42,978,384	100,253,221	-	-	313,590,193	1,484,536,756
Other Current Assets3	-	275,599	-	-	3,406,453,587	-	615,833	18,088,258	-	-	1,496,952	3,426,930,229
Total Current Assets	**6,038,166,433**	**110,656,137**	**7,808,983**	**1,594,303,708**	**5,804,965,356**	**1,789,983,419**	**230,566,035**	**1,070,459,605**	**589,689,479**	**310,836,694**	**711,160,375**	**18,258,596,226**
Total Assets	**17,649,365,968**	**1,203,201,745**	**345,914,661**	**4,019,867,614**	**76,049,699,642**	**13,468,917,698**	**4,170,476,763**	**52,983,387,726**	**6,098,928,752**	**13,882,436,446**	**4,893,875,080**	**194,766,072,095**
Liabilities												
Long (Non-Current) Liabilities												
Long Term Loans	-	-	-	19,394,875	-	43,529,106	-	-	-	-	-	62,923,981
Deferred Taxation	1,314,642,670	-	2,370,593	34,669,020	644,436,935	67,143,837	-	123,044,360	-	343,518,379	-	2,529,825,793
Future Policyholder Funds	-	-	254,420	839,120,612	-	-	-	-	-	-	-	839,375,032
Short (Current) Liabibilities												
Outstanding Claims	-	2,452,300	-	-	184,639,075	58,023,128	3,645,462	-	-	6,588,418	4,929,916	260,278,299
Claims Incurred but not Reported	-	2,069,631	5,934,848	-	516,354,044	-	41,845,498	-	-	-	104,497,669	670,701,691
Paid up policies	-	-	-	-	-	-	-	-	-	-	-	-
Investment contract liabilities	-	804,740,561	-	-	12,003,936,495	-	190,037,494	3,340,493,180	622,866,913	-	7,669,525	16,969,744,168
Insurance contract liabilities	5,010,797,958	10,002,336	-	-	1,896,692,504	296,661,558	-	35,876,143,285	4,187,553,405	-	60,627,570	47,338,478,615
Additional Unexpired Risk Reserv	-	-	-	-	-	-	-	318,015,677	-	-	-	318,015,677
Retrocession Arrangements	-	-	-	-	-	-	-	-	-	-	-	-
Life Fund	-	-	-	-	-	9,126,086,925	357,479,920	269,838,417	-	10,991,069,631	-	20,744,474,893
Unearned Premium Reserve	-	4,683,849	704,493	-	104,010,873	34,483,809	103,654,168	245,998,818	-	-	99,218,061	592,754,071
Amounts Due To Reinsurers	-	608,679	651	-	-	-	-	-	-	- 1,100,628	3,383,151	2,891,853
Other Short Term Liabilities												
Other Liabilities1	-	59,604,363	726,430	25,458,874	1,315,245,121	91,235,029	55,005,941	-	-	427,697,601	180,029,649	2,155,003,007
Other Liabilities2	-	43,316,028	2,892,625	76,671,422	60,234,900	808,481,492	256,074,781	53,707,686	11,565,914	31,345,413	229,546,858	1,573,837,119
Other Liabilities3	-	-	1,091,295	-	196,328,450	8,366,841	-	45,558,481	457,670,051	-	24,397,633	733,412,752
Other Liabilities4	-	-	-	-	-	-	-	66,993,677	2,271,582	-	24,913,424	94,178,683
Other Liabilities5	-	-	-	-	284,400,842	-	-	320,960,725	-	-	-	605,361,566
Other Liabilities6	-	-	-	-	481,092,245	-	-	3,721,244	-	-	2,120,444	486,933,933
Other Liabilities7	-	-	-	-	382,181,873	-	-	-	-	-	-	382,181,873
Total Liabilities	**6,325,440,628**	**927,477,747**	**13,975,355**	**995,314,803**	**18,069,553,356**	**10,534,011,725**	**1,007,743,264**	**40,664,475,549**	**5,281,927,864**	**11,799,118,814**	**741,333,901**	**96,360,373,006**
SHARE CAPITAL AND RESERVES												
Share Capital	400,000	20,200	38	1,000,000	131,844	200,000	2	7,308	1,092,059	231,908	100	3,083,458
Share Premium	-	34,804,380	2,435,318	-	29,990,000	450,000	1,388,012	41,379,892	671,409	4,431,623	5,685,251	121,235,885
Investment Reserve	-	-	-	-	-	-	-	2,014,048	-	9,217,529	-	11,231,577
Revaluation Reserve	6,347,015,677	-	-	3,701,303	-	15,186	744,610,283	-	297,955,229	123,443,494	177,418,465	7,694,159,637
Non Distributable Reserve	2,067,211,264	-	-	-	33,764,276	2,463,511	-	-	-	-	-	2,103,439,051
Retained Earnings - Prior years	1,694,891,738	390,944,239	326,053,526	2,434,089,359	30,638,645,715	1,125,880,096	557,595,592	-	415,368,712	1,945,993,079	1,559,403,171	41,088,865,227
Retained Earnings - Current year	1,389,262,687	631,843,657	3,450,424	585,762,149	27,277,614,451	1,805,897,180	1,848,691,248	12,275,510,929	-	-	2,410,034,192	48,228,066,916
Other1	3,214,927,449	-	-	-	-	-	10,448,362	-	10,037	-	-	3,225,385,848
Other2	-	-	-	-	-	-	-	-	101,923,517	-	-	101,923,517
SHAREHOLDERS EQUITY	**11,323,925,339**	**275,723,998**	**331,939,306**	**3,024,552,811**	**57,980,146,286**	**2,934,905,973**	**3,162,733,499**	**12,318,912,177**	**817,000,888**	**2,083,317,632**	**4,152,541,179**	**98,405,699,088**
TOTAL EQUITY & LIABILITIES	**17,649,365,967**	**1,203,201,745**	**345,914,661**	**4,019,867,614**	**76,049,699,642**	**13,468,917,698**	**4,170,476,763**	**52,983,387,726**	**6,098,928,753**	**13,882,436,446**	**4,893,875,080**	**194,766,072,094**

Annexure 3: Statement of Financial Position for Life Reassurers

Item	First Mutual Reinsurance	FBC Reinsurance	Emeritus Reinsurance	ZEP RE Insurance	Totals
Non-Current Assets					
Intangible Assets	-	-	-	-	-
Property and Equipment	174,814	79,885,868	1,302	-	80,061,984
Investment Property	-	59,553	551,628,363	-	551,687,916
Investments: Quoted equities	295,309,823	216,031,484	-	-	511,341,307
Unquoted equities	-	-	-	-	-
Bonds	-	-	-	122,277,692	122,277,692
Deferred tax asset	-	-	8,319	-	8,319
Deferred acquisition costs	-	205,216,950	-	13,077,258	218,294,208
Other Non-Current Assets1	-	-	26,102,000	-	26,102,000
Other Non-Current Assets2	-	-	-	-	-
Other Non-Current Assets3	-	82,926,829	-	-	82,926,829
Total Non-Current Assets	295,484,637	711,925,493	577,739,984	135,354,950	1,720,505,064
Current Assets					
Premium Receivable	8,908,115	-	-	-	8,908,115
Money market investments	957,606	1,310,643,161	-	-	1,311,600,767
Short term Investments	-	1,489,595,940	500,896,867	-	1,990,492,807
Other receivables	31,232,493	-	-	459,440,967	490,673,460
Cash and Bank Balances	5,177,774	731,130,617	8,596,182	-	744,904,573
Other Current Assets1	-	-	264,757,453	-	264,757,453
Other Current Assets2	-	740,180,875	-	-	740,180,875
Other Current Assets3	-	-	-	-	-
Total Current Assets	46,275,988	4,271,550,593	774,250,502	459,440,967	5,551,518,050
Total Assets	341,760,625	4,983,476,086	1,351,990,486	594,795,917	7,272,023,113
Liabilities					
Long (Non-Current) Liabilities					-
Long Term Loans	-	-	-	-	-
Deferred Taxation	-	36,097,489	-	-	36,097,489
Short (Current) Liabilities					-
Outstanding Claims	6,486,555	-	-	1,443,099	7,929,654
Claims Incurred but not Reported	1,444,069	-	-	64,047,942	65,492,011
Investment contract liabilities	-	-	-	-	-
Insurance contract liabilities	13,487	-	46,045,045	-	46,058,532
Additional Unexpired Risk Reserve	-	-	-	-	-
Retrocession Arrangements	6,085,032	-	20,069,855	-	26,154,887
Life Fund	-	-	139,890,000	-	139,890,000
Unearned Premium Reserve	-	681,984,739	-	47,999,513	729,984,252
Amounts Due To Reinsurers	-	-	-	-	-
Other Liabilities1	187,019	974,896,984	4,036,700	-	979,120,703
Other Liabilities2	1,208,901	68,064,280	4,098,110	-	73,371,291
Other Liabilities3	-	-	-	-	-
Other Liabilities4	-	360,419,851.00	-	-	360,419,851.00
Other Liabilities5	-	322,112,889.00	-	-	322,112,889.00
Other Liabilities6	-	-	-	-	-
Other Liabilities7	-	-	-	-	-
Total Liabilities	15,425,063	2,443,576,232	214,139,710	113,490,554	2,786,631,559
SHARE CAPITAL AND RESERVES					
Share Capital	700	900,000	487,727	-	1,388,427
Share Premium	2,287,595	42,703,332	6,281,124	-	51,272,051
Revaluation Reserve	-	54,551,586	-	328,454,810	383,006,396
Non Distributable Reserve	-	37,351	-	-	37,351
Retained Earnings - Prior years	165,872,098	53,660,149	960,831,769	116,070,138	1,296,434,154
Retained Earnings - Current year	158,175,169	217,086,193	170,250,156	36,780,414	582,291,932
Minority Interest	-	-	-	-	-
Other1	-	2,170,961,242	-	-	2,170,961,242
Other3	-	-	-	-	-
Other4	-	-	-	-	-
Other5	-	-	-	-	-
Other6	-	-	-	-	-
Other7	-	-	-	-	-
SHAREHOLDERS EQUITY	326,335,562	2,539,899,853	1,137,850,776	481,305,362	4,485,391,554
TOTAL EQUITY & LIABILITIES	341,760,625	4,983,476,085	1,351,990,486	594,795,917	7,272,023,113

Annexure 4: Statement of Comprehensive Income for Life Reassurers

	First_Mutual_Reinsurance	FBC_Reinsurance	Emeritus_Reinsura	ZEP_RE-Insurance	Totals
Gross Premium Written	45,881,620	163,108,675	304,305,449	82,021,510	595,317,254
Outward Reassurance Premium	3,875,661	34,049,127	27,595,556	4,424,689	69,945,033
Net Premium Written	42,005,959	129,059,548	276,709,893	77,596,820	525,372,220
Unearned Premiums	-	-	-	3,742,190	3,742,190
Net Earned Premium	42,005,959	129,059,548	276,709,893	81,339,010	529,114,410
Claims Paid	10,774,658	23,922,837	125,859,853	21,000,677	181,558,024
Claims Outstanding	-	-	-	-748	-748
Claims Incurred But Not Reported	700,014	-	46,045,045	3,354,107	50,099,166
Change in provision for insurance	-387,695	-	-	-	-387,695
Net Claims	11,086,977	23,922,837	171,904,897	24,354,037	231,268,747
Management Expenses	2,669,176	-	71,379,719	3,179,426	77,228,320
Net Fees and Commission Paid	7,259,831	33,771,367	54,691,621	18,861,234	114,584,053
Underwriting Profit/(Loss)	20,989,975	71,365,344	-21,266,344	34,944,314	106,033,289
Fair value adjustments (positive)	-	216,031,484	-	-	216,031,484
Dividend income	-	-	-	-	-
Other Income	1,370,135	-	1,818,640	-	3,188,775
Other Income2	135,815,059	-	161,085,790	-	296,900,849
Other Income3	-	-	23,068,304	-	23,068,304
Administrative Expenses	-	2,500,544	-	-	2,500,544
Earnings Before Interest and Taxation	158,175,169	284,896,284	170,249,981	34,944,314	648,265,748
Interest	-	254,189	-	1,836,100	2,090,289
Earnings Before Tax	158,175,169	285,150,473	170,249,981	36,780,414	650,356,037
Taxation	-	68,064,280	-176	-	68,064,104
Earnings After Tax	158,175,169	217,086,193	170,250,157	36,780,414	582,291,933
Total Comprehensive Profit/(Loss) for the Pe	158,175,169	217,086,193	170,250,157	36,780,414	582,291,933
Total Comprehensive Profit/(Loss)	158,175,169	217,086,193	170,250,157	36,780,414	582,291,933